

25STCV18491 25STCV18491

County: los-angeles

Division: Civil Law and Motion

Department: 731

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Case Number: 25STCV18491 Hearing Date: July 2, 2026 Dept: 731

SUPERIOR COURT OF CALIFORNIA

COUNTY OF LOS ANGELES

DEPARTMENT 731

TENTATIVE RULING

K-POP FOOD, INC.,

Plaintiff,

v.

PHH MORTGAGE CORPORATION,

et al.

Defendants.

Case No:

25STCV18491

Hearing Date: July 2, 2026

Calendar Number: 9

Defendant

Velocity Mortgage Capital demurs to the Complaint filed by Plaintiff K-Pop

Food, Inc.

Defendants

Onity Mortgage Corporation fka PHH Mortgage Corporation and PHH Mortgage Services demur to the Complaint filed by Plaintiff K-Pop Food, Inc.

Defendants'

unopposed demurrers are SUSTAINED with 30 days leave to amend.

Background

On

June 25, 2025, Plaintiff K-Pop Food, Inc. ("Plaintiff") filed a Complaint against Defendants PHH Mortgage Corporation, PHH Mortgage Services ("PHH"), and Velocity Mortgage Capital ("Velocity"; all together, "Defendants"), alleging two causes of action for declaratory relief and preliminary and permanent injunction.

Plaintiff

alleges on June 4, 2024, it entered into a commercial lease for ten years with Red Roof, Inc., and Plaintiff operates a fast food restaurant at 1939 S. San Pedro Street, Los Angeles, CA 90011 ("the property"). Plaintiff alleges on May 6, 2025, the building which includes the premises where plaintiff is leasing was foreclosed by Defendants who are the mortgage bank and the mortgage servicing entities.

Plaintiff

alleges that since the foreclosure, Defendants who obtained the title to the building through the foreclosure sale, began to pressure Plaintiff to move out of the premises, threatening forceful lock out. This is contrary to the terms of the lease which is valid until the year 2034.

On April

30, 2026, Defendant Velocity filed a demurrer to the Complaint. No opposition has been filed.

On

May 6, 2026, Defendants PHH filed a demurrer to the Complaint. No opposition has been filed.

Legal Standard

A demurrer for sufficiency tests

whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747 (Hahn).) When considering demurrers, courts read the allegations liberally and in context. In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.)

“A demurrer tests the pleadings alone

and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (Code Civ. Proc. §§ 430.30, 430.70.) “The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action.” (Hahn, supra, 147 Cal.App.4th at p. 747.)

At the pleading stage, a plaintiff

need only allege ultimate facts sufficient to apprise the defendant of the factual basis for the claim against him. (Semole v. Sansoucie (1972) 28 Cal. App. 3d 714, 721.) A “demurrer does not, however, admit contentions, deductions or conclusions of fact or law alleged in the pleading, or the construction of instruments pleaded, or facts impossible in law.” (S. Shore Land Co. v. Petersen (1964) 226 Cal.App.2d 725, 732 (internal citations omitted).)

Request for Judicial Notice

Defendant

Velocity seeks judicial notice of: (1) the Deed of Trust, Security Agreement, Assignment of Leases, Rents, and Profits, and Fixture Filing; (2) the Assignment of Deed of Trust; (3) the Trustee's Deed Upon Sale in favor of U.S. Bank National Association, as Trustee for Velocity Commercial Capital Loan Trust 2021-4; and (4) The corporate status of K-Pop Food, Inc., as available from the California Secretary of State's public business search tool.

Defendant's

unopposed requests are GRANTED.

Discussion

Demurring Defendants all argue that the complaint is fatally deficient because Plaintiff is a suspended corporation and thus lacks capacity to sue.

Defendant

Velocity made a loan to Red Roof Inc. which was secured by a Deed of Trust, Security Agreement, Assignment of Leases, Rents, and Profits, and Fixture Filing (“Deed of Trust”) recorded against the Property on October 14, 2021 (Request for Judicial Notice (“RJN”), Ex. 1.) The Deed of Trust was signed by Connie H. Kim as president of Red Roof, Inc. (Id.)

Red Roof Inc.

defaulted on a loan secured against the Property, and a foreclosure followed. (Complaint, ¶ 7.) The trustee’s sale of the Property took place on May 6, 2025, and title to the Property transferred to U.S. Bank National Association, as Trustee for Velocity Commercial Capital Loan Trust 2021-4 (“US Bank”) by virtue of a Trustee’s Deed Upon Sale, recorded on May 8, 2025. (RJN, Ex. 3.) US Bank remains the owner of the Property.

Plaintiff alleges in

the Complaint that it “entered into a Commercial Lease Agreement for the [Property] for ten years lease term with then landlord, Red Roof Inc.” (“Lease”) (Complaint, ¶ 4.) The Lease identifies “Red Roof Inc. or Connie H. Kim” as landlord. (Complaint, Ex. A.) The Lease is signed by Connie H. Kim as “landlord,” and by Connie H. Kim for Plaintiff/lessee K-Pop. (Id.)

Thus, based on the

judicially noticeable documents, Velocity argues that the Lease at issue on the property was signed for both the lessor and lessee by Connie H. Kim, the principal of each entity, in an attempt to keep the Property after title has transferred to another entity. In short, Kim leased the Property to herself, and now asks the Court to grant her possession through the year 2034.

As noted above, all

of the demurring Defendants argue that Plaintiff is a suspended corporation. Pursuant to Velocity’s judicially noticeable document, exhibit 4, the Court finds that Plaintiff is a suspended corporation.

A suspended corporation lacks capacity to

sue. (Color-Vue, Inc. v. Abrams (1996) 44 Cal.App.4th 1599, 1603-1604.) The capacity to sue is the right to come into Court. (Id., at 1603-05.) Lack of capacity is a valid ground for sustaining a demurrer. (Code Civ. Proc., § 430.10, subd. (b).)

Plaintiff has failed to file an opposition to dispute this or to argue for any relief.

The Court will allow leave to amend as this is the first demurrer, and the lack of capacity due to suspended status can be cured.

As a result, the unopposed demurrers are SUSTAINED with 30 days leave to amend.